institutions like the Debt Recovery Tribunals through appropriate legislation. The RBI would perform a purely regulatory role, and withdraw its representatives on bank boards – this will require legislative change. Over time, the RBI should also empower boards more, for instance, offering broad guidelines on compensation to boards but not requiring every top compensation package be approved.

Given strong oversight from the bank's board, the CVC and CAG would get involved only in extraordinary situations where there is evidence of malfeasance, and not when legitimate business judgment has gone wrong.

I have focused on the challenges public sector banks face meeting the new competitive environment, as well as some possible solutions. These should be viewed as opening a discussion rather than the formal views of the RBI. That I have not discussed the challenges private banks will face is not because I think they are perfectly positioned but because they are not as constrained as the public sector banks. But before I end, let me emphasize an immediate area of action for all.

With changes in technology, cyber security, both at the bank level and at the system level, has become very important. I think it would be overly complacent for anyone of us to say we are well prepared to meet all cyber threats. A chilling statement by an IT expert is 'We have all been hacked, the only question is whether you know it or you don't'. While the statement may be alarmist, it is an antidote to complacency. We all have to examine our security culture. Too many access points are left unmonitored, too many people share passwords or have easily penetrated passwords, too little surveillance is maintained of vendors and the software they create. The RBI is working on upgrading the capabilities of its inspectors to undertake bank system audit as well as to detect vulnerabilities in them. The RBI